



ANNUAL REPORT

December 31, 2023

The Garden City Company

December 31, 2023

DIRECTORS

William J. Hybl (Chair)

R. Thayer Tutt, Jr.

William J. Hybl, Jr.

David J. Palenchar

Kyle H. Hybl

Troy J. Dumler

Robba Moran

Lt Gen Michael C. Gould, USAF (Ret)

OFFICERS/MANAGEMENT

President and CEO

R. Thayer Tutt, Jr.

Senior Vice President, General Manager

Troy J. Dumler

Vice President

Kyle H. Hybl

Secretary

Christine M. Sohn

Treasurer

Elaine M. Martinez

Assistant Treasurer

David J. Palenchar

Assistant Secretary

Jessica L. Heckel

Transfer Agent

Connie M. Rickard

Assistant Transfer Agent

Stacy D. Pons

OFFICES

P.O. Box 597, Garden City, Kansas 67846

10 Lake Circle, Colorado Springs, Colorado 80906



THE GARDEN CITY COMPANY

— ESTABLISHED 1905 —

R. THAYER TUTT, JR.
PRESIDENT AND CEO

TO THE STOCKHOLDERS:

The Garden City Company earnings for the year ended December 31, 2023 were \$52.64 per share. Total revenue for 2023 was \$6,829,681. Income from operations for the year was \$2,381,512. Dividends per share for the year were \$45.00, including the quarterly payments of \$5.00 and a special dividend of \$25.00 paid in December 2023.

In 2023, Farm Rental Income was \$4,609,710. Declining agricultural commodity prices reduced income relative to 2022. Precipitation in 2023 was above average, but record dry conditions through April and two large scale hail events during the summer growing season limited crop production, with most crops yielding below long-term averages. Crop insurance indemnities were collected on non-irrigated wheat, corn, and grain sorghum. Irrigation use from groundwater wells was the lowest since 2019. A small run of surface water helped to supplement groundwater. Total farm rental expenses in 2023 were 5% lower than expenses in 2022. The lower costs were driven primarily from a reduction in irrigation pumping costs.

Net royalty income was \$1,501,545 in 2023. Natural gas and oil production each declined slightly in 2023, and when coupled with a drop in prices, resulted in a decline in income relative to 2022.

Global energy prices remain mixed with oil maintaining a higher price level from reduced supplies, while natural gas prices remain low from reduced consumption and increased inventories. Agricultural commodity prices remain under pressure in 2024 as global supplies have increased. However, lower prices could improve demand prospects. Increased precipitation in 2023 and early 2024 provides the opportunity for improved agricultural production in 2024.

The management team at The Garden City Company appreciates the efforts of all the employees and tenant farmers during the past year. We will continue to work together to pursue opportunities that add value to The Company and its stockholders.

Sincerely,

Forward Looking Statements

Certain statements that we make about The Garden City Company may constitute "forward-looking statements" under the Private Securities Litigation Reform Act of 1995. Forward-looking statements include information concerning future objectives, business prospects, financial results (including expenses, earnings, commodity prices, cash flow and capital expenditures), or market conditions or general economic conditions. Forward-looking statements are not guarantees, and they involve risks, uncertainties and assumptions. Although we make such statements based on assumptions that we believe to be reasonable, there can be no assurance that actual results will not differ materially from those expressed in the forward-looking statements. We caution investors not to rely unduly on any forward-looking statements. We expressly disclaim any obligation to update any forward-looking statement in the event it later turns out to be inaccurate, whether as a result of new information, future events or otherwise.

THE GARDEN CITY COMPANY
FINANCIAL STATEMENTS
WITH INDEPENDENT AUDITOR'S REPORT
DECEMBER 31, 2023 AND 2022



INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Stockholders
The Garden City Company

Opinion

We have audited the accompanying financial statements of The Garden City Company, which comprise the balance sheets as of December 31, 2023 and 2022, and the related statements of income, changes in stockholders' equity, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of The Garden City Company, as of December 31, 2023 and 2022, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of The Garden City Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

2022 Financial Statements Restated

As discussed in Note (12) to the financial statements, the 2022 financial statements have been restated to correct a misstatement. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about The Garden City Company's ability to continue as a going concern for one year after the date that the financial statements are issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of The Garden City Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about The Garden City Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.



LEWIS, HOOPER & DICK, LLC

March 21, 2024

THE GARDEN CITY COMPANY
BALANCE SHEETS
December 31, 2023 and 2022

	<u>ASSETS</u>	
	<u>2023</u>	<u>2022</u>
CURRENT ASSETS		
Cash	\$ 855,171	\$ 763,970
Short-term investments	992,434	2,535,545
Marketable securities	5,746,579	2,837,707
Accounts receivable	213,745	599,772
Inventory, grain	2,772,013	3,857,773
Inventory, supplies	163,138	83,198
Prepaid expenses	<u>15,221</u>	<u>13,772</u>
TOTAL CURRENT ASSETS	10,758,301	10,691,737
PROPERTY AND EQUIPMENT, at cost, less accumulated depreciation and depletion	5,264,318	5,193,576
OTHER ASSETS		
Co-op stock and equity credit	<u>168,656</u>	<u>152,477</u>
TOTAL ASSETS	<u>\$ 16,191,275</u>	<u>\$ 16,037,790</u>

The accompanying Notes to Financial Statements are an integral part of these statements.

<u>LIABILITIES AND STOCKHOLDERS' EQUITY</u>		
	<u>2023</u>	<u>2022</u>
CURRENT LIABILITIES		
Accrued liabilities	\$ 277,053	\$ 259,784
Income tax payable	174,783	622,485
Current portion of accumulated postretirement health benefits	<u>45,875</u>	<u>60,259</u>
TOTAL CURRENT LIABILITIES	<u>497,711</u>	<u>942,528</u>
LONG-TERM LIABILITIES		
Accumulated postretirement health benefits, less current portion	1,171,978	976,131
Deferred tax liability	<u>888,000</u>	<u>844,000</u>
TOTAL LONG-TERM LIABILITIES	<u>2,059,978</u>	<u>1,820,131</u>
TOTAL LIABILITIES	<u>2,557,689</u>	<u>2,762,659</u>
STOCKHOLDERS' EQUITY		
Capital stock, no par value; 40,000 shares authorized; 34,865 and 34,780 shares issued and outstanding in 2023 and 2022, respectively	2,973,903	2,865,783
Additional paid-in capital	2,928,648	2,944,798
Retained earnings	<u>7,731,035</u>	<u>7,464,550</u>
TOTAL STOCKHOLDERS' EQUITY	<u>13,633,586</u>	<u>13,275,131</u>
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	<u>\$ 16,191,275</u>	<u>\$ 16,037,790</u>

THE GARDEN CITY COMPANY
STATEMENTS OF INCOME
For the Years Ended December 31, 2023 and 2022

	<u>2023</u>	<u>2022</u>
REVENUES		
Farm rental income	\$ 4,609,710	\$ 6,579,300
Oil and gas royalties	1,731,157	2,422,623
Investment portfolio	<u>488,814</u>	<u>(108,078)</u>
 TOTAL REVENUES	 <u>6,829,681</u>	 <u>8,893,845</u>
 COSTS AND EXPENSES		
Farm rental expense	2,956,964	3,113,164
Oil and gas royalties	229,612	228,427
Investment expenses	38,482	34,757
General and administrative and water issues expenses	<u>1,223,111</u>	<u>860,871</u>
 TOTAL COSTS AND EXPENSES	 <u>4,448,169</u>	 <u>4,237,219</u>
 INCOME BEFORE INCOME TAXES	 2,381,512	 4,656,626
 INCOME TAX EXPENSE	 <u>546,102</u>	 <u>1,088,485</u>
 NET INCOME	 <u>\$ 1,835,410</u>	 <u>\$ 3,568,141</u>
 BASIC EARNINGS PER SHARE	 <u>\$ 52.64</u>	 <u>\$ 102.65</u>
 DILUTED EARNINGS PER SHARE	 <u>\$ 52.64</u>	 <u>\$ 102.48</u>

The accompanying Notes to Financial Statements are an integral part of these statements.

THE GARDEN CITY COMPANY
STATEMENTS OF CHANGES IN STOCKHOLDERS' EQUITY
For the Years Ended December 31, 2023 and 2022

	<u>Capital Stock</u>	<u>Additional Paid-in Capital</u>	<u>Retained Earnings</u>
Balance, December 31, 2021 (previously reported)	\$ 2,642,483	\$ 2,978,748	\$ 6,763,026
Adjustment for correction of accumulated postretirement health benefits	<u>-</u>	<u>-</u>	<u>(84,217)</u>
Balance, December 31, 2021 (restated)	<u>2,642,483</u>	<u>2,978,748</u>	<u>6,678,809</u>
Net income (restated)	-	-	3,568,141
Dividends - \$80 per share	-	-	(2,782,400)
Stock options exercised	<u>223,300</u>	<u>(33,950)</u>	<u>-</u>
Balance, December 31, 2022 (restated)	<u>2,865,783</u>	<u>2,944,798</u>	<u>7,464,550</u>
Net income	-	-	1,835,410
Dividends - \$45 per share	-	-	(1,568,925)
Stock options exercised	<u>108,120</u>	<u>(16,150)</u>	<u>-</u>
Balance, December 31, 2023	<u>\$ 2,973,903</u>	<u>\$ 2,928,648</u>	<u>\$ 7,731,035</u>

The accompanying Notes to Financial Statements are an integral part of these statements.

THE GARDEN CITY COMPANY
STATEMENTS OF CASH FLOWS
For the Years Ended December 31, 2023 and 2022

	<u>2023</u>	<u>2022</u>
<u>CASH FLOWS FROM OPERATING ACTIVITIES</u>		
Net income	\$ 1,835,410	\$ 3,568,141
Adjustments to reconcile net income to net cash provided by operating activities	<u>1,164,730</u>	<u>(1,528,855)</u>
 NET CASH PROVIDED BY OPERATING ACTIVITIES	 <u>3,000,140</u>	 <u>2,039,286</u>
 <u>CASH FLOWS FROM INVESTING ACTIVITIES</u>		
Net change in short-term investments	1,543,111	831,523
Purchase of marketable securities	(10,284,834)	(4,718,115)
Proceeds from sales of marketable securities	7,750,000	4,440,000
Purchase of property and equipment	(488,431)	(385,586)
Proceeds from sale of property and equipment	<u>48,170</u>	<u>52,000</u>
 NET CASH PROVIDED (USED) BY INVESTING ACTIVITIES	 <u>(1,431,984)</u>	 <u>219,822</u>
 <u>CASH FLOWS FROM FINANCING ACTIVITIES</u>		
Proceeds from exercise of stock options	91,970	189,350
Dividends paid	<u>(1,568,925)</u>	<u>(2,782,400)</u>
 NET CASH USED BY FINANCING ACTIVITIES	 <u>(1,476,955)</u>	 <u>(2,593,050)</u>
 INCREASE (DECREASE) IN CASH	 91,201	 (333,942)
 CASH, BEGINNING OF PERIOD	 <u>763,970</u>	 <u>1,097,912</u>
 CASH, END OF PERIOD	 <u>\$ 855,171</u>	 <u>\$ 763,970</u>

The accompanying Notes to Financial Statements are an integral part of these statements.

THE GARDEN CITY COMPANY
NOTES TO FINANCIAL STATEMENTS
For the Years Ended December 31, 2023 and 2022

(1) Summary of significant accounting policies

Operations

The Garden City Company (the Company) owns farmland in Southwest Kansas which it rents to tenant farmers on a crop share basis. In addition, the Company receives oil and gas royalties from wells maintained by third parties on its property.

Crop share leases

The farm ground of the Company is leased to tenant farmers on an annual basis. The Company recognizes income (the Company's share of the crops produced) when the crops are harvested and inventoried. Expenses related to these leases are recognized when incurred.

Revenue recognition

As mentioned above, crop share revenue is recognized when the crop is harvested and inventoried. Revenue from the sale of crops is recognized once an arrangement exists, delivery has occurred, the price is determinable, and collectability is assured. The Company does not have significant financing components as payment is received at or shortly after the point of sale. Revenue from oil and gas royalties is recognized monthly as received from the producers.

Cash

Cash balances with brokerage firms are not considered cash but are considered to be short-term investments. For purposes of the statements of cash flows, the Company's definition of cash does not include short-term investments and marketable securities with original maturity dates of three months or less.

Marketable securities

Marketable equity and debt securities are stated at fair value. Marketable equity securities are classified in the balance sheets as current assets while marketable debt securities are classified in the balance sheets according to the maturity date of the security. Changes in the fair value of marketable securities is recorded in the income statement. Fair market values of marketable securities are determined for each individual security in the investment portfolio using quoted prices in active markets for identical assets (Level 1). Marketable securities are summarized in Note (2).

Inventory

Grain inventory, which represents farm rents received in crop shares not yet sold, is valued at contract price or current local market values. Supplies are carried at cost.

THE GARDEN CITY COMPANY
NOTES TO FINANCIAL STATEMENTS
For the Years Ended December 31, 2023 and 2022

(1) Summary of significant accounting policies (continued)

Property and equipment

Property and equipment is stated at cost. Maintenance and repairs are charged to expense as incurred; costs of major additions and betterments are capitalized. When property and equipment is sold or otherwise disposed of, the cost and related accumulated depreciation are eliminated from the accounts and any resulting gain or loss is reflected in income.

Depreciation and depletion

Depreciation is computed over the estimated useful lives of the assets using either the declining-balance or the straight-line method. Useful lives used for calculating depreciation are as follows: buildings and improvements, 6-20 years; irrigation systems, 5-20 years; grain storage facilities, 10-20 years; equipment, 3-10 years. Depletion of minerals is computed using the unit-of-production method.

Income taxes

Deferred income taxes are provided for timing differences in reporting income for financial statement and income tax purposes. The timing differences are mainly due to the use of different methods of accounting for depreciation, the adjustment of marketable securities to fair value, the accrual of postretirement liabilities, and the expensing of stock options.

Earnings per share

Basic earnings per share (EPS) is calculated using net earnings available to common stockholders divided by the weighted-average number of shares of common stock outstanding during the year. Diluted EPS is similar to basic EPS except that the weighted-average number of shares is increased to include the number of additional common shares that would have been outstanding if the potentially dilutive common shares had been issued. Dilutive common stock options are included in the diluted EPS calculation using the treasury stock method. Amounts used in computing the basic and diluted EPS are listed in Note (10).

Stock option plan

The Company maintains a non-compensatory stock option plan. During 2018, the plan was amended to extend the plan for 10 years, to be effective beginning March 1, 2019. The purpose of the plan is to attract and retain qualified personnel for positions of substantial responsibility and to provide incentive to officers, directors and key employees of the Company. Under the plan no director, employee or other person shall have the right to be selected as a participant under the plan. The maximum aggregate number of shares that may be optioned or granted under the plan is the greater of: a) 5,100 shares, of which 2,150 shares are the subject of existing options or grants as of the restatement date, or b) a number of shares determined by the board of directors. The exercise price of each option is equal to the market value of the common stock of the Company, determined within thirty days after the beginning of each year. The maximum term of the options is 10 years. The options vest at 20% per year from the time of award. Awards become fully vested after five years.

THE GARDEN CITY COMPANY
NOTES TO FINANCIAL STATEMENTS
For the Years Ended December 31, 2023 and 2022

(1) Summary of significant accounting policies (continued)

Stock option plan (continued)

Share-based payments to employees, including grants of employee stock options, issued after December 2006 are recognized on the income statement based on their fair values. This accounting treatment is also applied to all awards, modifications, repurchases, and cancellations made after December 2006. The valuation of awards made after December 2006 is computed using the intrinsic value method. The Accounting Standards Codification allows this method of valuation when it is impractical to reasonably estimate the volatility of a stock and when no industry stock index exists to estimate volatility. The plan is described further in Note (9).

Defined contribution retirement plan and postretirement health benefits

The Company accounts for its 401(k) defined contribution retirement plan and postretirement health benefits plan according to the Financial Accounting Standards Board (FASB) Accounting Standards Codification, which requires that the funded status of postretirement plans be fully recognized in the balance sheet. The plans are described further in Notes (5) and (6).

Use of estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

(2) Marketable securities

Marketable securities classified as current assets include the following:

	2023		2022	
	<u>Fair Value</u>	<u>Cost</u>	<u>Fair Value</u>	<u>Cost</u>
U.S. Treasury securities	\$ 3,656,691	\$ 3,656,691	\$ 987,349	\$ 987,349
Equity securities	<u>2,089,888</u>	<u>137,822</u>	<u>1,850,358</u>	<u>138,476</u>
Totals	<u>\$ 5,746,579</u>	<u>\$ 3,794,513</u>	<u>\$ 2,837,707</u>	<u>\$ 1,125,825</u>

The contractual maturities of debt securities available for sale are all within one year of the balance sheet dates.

THE GARDEN CITY COMPANY
NOTES TO FINANCIAL STATEMENTS
For the Years Ended December 31, 2023 and 2022

(2) Marketable securities (continued)

Sales proceeds and the change in unrealized holding gains on securities are:

	<u>2023</u>	<u>2022</u>
Sale proceeds	\$ 7,750,000	\$ 4,440,000
Gross realized gains	\$ -	\$ -
Change in unrealized holding gains included in earnings	\$ 243,199	\$ (205,908)

(3) Property and equipment

Property and equipment consists of the following:

	<u>2023</u>	<u>2022</u>
Cost		
Land and water rights	\$ 2,929,945	\$ 2,931,393
Buildings and improvements	921,454	909,957
Irrigation systems	9,783,411	9,531,812
Grain storage facilities	1,300,801	1,294,923
Equipment	789,148	729,279
Total cost	15,724,759	15,397,364
Less: accumulated depreciation and depletion	(10,460,441)	(10,203,788)
Net property and equipment	\$ 5,264,318	\$ 5,193,576
Depreciation and depletion expense	\$ 408,243	\$ 398,995

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THE GARDEN CITY COMPANY
NOTES TO FINANCIAL STATEMENTS
For the Years Ended December 31, 2023 and 2022

(4) Income taxes

The income tax provision differs from the expense that would result from applying federal and state statutory rates to income before income taxes because certain expenses are deductible for income tax purposes that are not deductible for financial statement purposes.

The components of income tax expense are:

	<u>2023</u>	<u>2022</u>
Current	\$ 502,102	\$ 1,131,485
Deferred tax expense (benefit)	<u>44,000</u>	<u>(43,000)</u>
Income tax expense	<u>\$ 546,102</u>	<u>\$ 1,088,485</u>

Total deferred tax assets and liabilities are as follows:

	<u>2023</u>	<u>2022</u>
Deferred tax asset	<u>\$ 342,000</u>	<u>\$ 310,000</u>
Deferred tax liability	<u>\$ 1,230,000</u>	<u>\$ 1,154,000</u>

(5) Defined contribution retirement plan

During 2013 the Company adopted a 401(k) defined contribution retirement plan. The plan covers employees who meet minimum age and service requirements and elect to participate. Company contributions to the plan for 2023 and 2022 total \$87,066 and \$84,640, respectively.

(6) Postretirement health benefits

The Company provides health insurance benefits to retired employees. In accordance with the FASB Accounting Standards Codification, such costs are to be accounted for on the accrual basis. At December 31, 2023, and 2022, the accumulated postretirement benefit obligation is estimated to be \$1,217,853 and \$1,036,390, respectively. There are no plan assets. Benefit payments are funded from operations. Employer contributions and benefits paid during 2023 and 2022, totaled \$60,259 and \$47,254, respectively.

Changes in the plan

During 2023 and 2022, there were no combinations, divestitures, curtailments, or settlements.

THE GARDEN CITY COMPANY
NOTES TO FINANCIAL STATEMENTS
For the Years Ended December 31, 2023 and 2022

(6) Postretirement health benefits (continued)

Recognition of gains and losses

The FASB Accounting Standards Codification requires, at a minimum, amortization of gains and losses in excess of 10% of the Accumulated Postretirement Benefit Obligation (APBO) over the average remaining service period of active participants. The Standards allow for any systematic method of amortization of gains and losses that results in recognition that is at least as great as the minimum. The Company has established a policy of recognizing all unrecognized gains or losses immediately. This policy accelerates the recognition of gains or losses beyond the minimum required.

The following schedules set forth the plan's funded status and amounts as of December 31, 2023 and 2022:

	<u>2023</u>	<u>2022</u>
Change in benefit obligation		
Benefit obligation at beginning of year	\$ 1,036,390	\$ 1,099,677
Service cost	40,074	30,562
Interest cost	50,231	29,488
Actuarial (gain) loss	151,417	(76,083)
Benefits paid	<u>(60,259)</u>	<u>(47,254)</u>
	<u>1,217,853</u>	<u>1,036,390</u>
Change in plan assets		
Fair value of plan assets at beginning of year	-	-
Estimated employer contributions	60,259	47,254
Estimated benefits paid	<u>(60,259)</u>	<u>(47,254)</u>
	<u>-</u>	<u>-</u>
Fair value of assets at end of year	<u>-</u>	<u>-</u>
Funded status	<u>\$ (1,217,853)</u>	<u>\$ (1,036,390)</u>

Balance sheet classifications of amount recognized:

	<u>2023</u>	<u>2022</u>
Current liability	\$ 45,875	\$ 60,259
Noncurrent liability	1,171,978	976,131

THE GARDEN CITY COMPANY
NOTES TO FINANCIAL STATEMENTS
For the Years Ended December 31, 2023 and 2022

(6) Postretirement health benefits (continued)

Net periodic benefit costs include the following components:

	<u>2023</u>	<u>2022</u>
Service cost	\$ 45,673	\$ 40,074
Interest cost	57,369	50,231
Amortization of losses	23,975	10,547
Recognized net actuarial (gain) loss	<u>288,027</u>	<u>274,401</u>
 Net periodic benefit cost	 <u>\$ 415,044</u>	 <u>\$ 375,253</u>

The Company expects to contribute approximately \$45,875 to the plan in 2024. Benefits expected to be paid by the plan during the next 10 fiscal years are as follows:

2024	\$ 45,875
2025	44,482
2026	43,031
2027	41,530
2028	39,989
2029-2033	<u>223,865</u>
 Total	 <u>\$ 438,772</u>

The weighted-average discount rate used to determine the benefit obligation and net benefit cost is 4.80%. A 3.00% annual rate of increase in the cost of health care benefits for current retirees is assumed for all years.

A one percentage-point change in these assumed health care costs trend rates would have the following effects:

	<u>One Percentage Point</u>	
	<u>Increase</u>	<u>Decrease</u>
Effect on total of service cost and interest cost	\$ 26,806	\$ (19,632)
Effect on postretirement benefit obligation	217,265	(163,007)

THE GARDEN CITY COMPANY
NOTES TO FINANCIAL STATEMENTS
For the Years Ended December 31, 2023 and 2022

(7) Statements of cash flows

Adjustments to reconcile net income to net cash provided by operating activities consist of the following:

	<u>2023</u>	<u>2022</u>
Depreciation and depletion	\$ 408,243	\$ 398,995
Provision for deferred taxes	44,000	(43,000)
Premiums and discounts	(134,508)	(10,090)
(Gain) loss on marketable securities	(249,696)	211,349
Contribution of marketable securities	10,166	10,084
Gain on disposal of property and equipment	(38,724)	(35,998)
Retirement costs	181,463	(63,287)
Noncash patronage income	(16,179)	(3,251)
<u>(Increase) decrease in:</u>		
Accounts receivable	386,027	(254,783)
Inventories	1,005,820	(1,654,409)
Prepaid expenses	(1,449)	(156)
<u>Increase (decrease) in:</u>		
Accrued liabilities	17,269	(163)
Income tax payable	<u>(447,702)</u>	<u>(84,146)</u>
 Totals	 <u>\$ 1,164,730</u>	 <u>\$ (1,528,855)</u>

During 2023 and 2022 the Company donated marketable securities to a charitable organization. A summary of the transactions follows:

	<u>2023</u>	<u>2022</u>
Fair value of securities donated	\$ 10,166	\$ 10,084
Cost of securities donated	<u>(654)</u>	<u>(1,228)</u>
 Gain recognized	 <u>\$ 9,512</u>	 <u>\$ 8,856</u>
 Related noncash contribution expense	 <u>\$ 10,166</u>	 <u>\$ 10,084</u>

Supplemental disclosures of cash flow information:

	<u>2023</u>	<u>2022</u>
Cash paid during the year for:		
Income taxes	<u>\$ 949,804</u>	<u>\$ 1,215,578</u>

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(8) Changes in stockholders' equity

During 2023, five directors exercised their options for 395 shares of stock under the stock option plan as discussed in Notes (1) and (9). The exercise of these options resulted in 85 shares of stock being issued in exchange for \$91,970. The remaining 310 options were exercised as a cashless exercise and resulted in additional compensation of \$59,350 being paid and no stock being issued.

During 2022, two directors exercised their options for 175 shares of stock under the stock option plan discussed in Notes (1) and (9). The exercise of the options resulted in 175 shares of stock being issued in exchange for \$189,350. Capital stock was increased for the \$223,300 and additional paid-in capital was reduced by \$33,950.

(9) Stock option plan

Stock option plan activity during the years ended December 31, 2023 and 2022, is as follows:

	<u>2023</u>		<u>2022</u>	
	<u>Number of</u>	<u>Weighted</u>	<u>Number of</u>	<u>Weighted</u>
	<u>Shares</u>	<u>Average</u>	<u>Shares</u>	<u>Average</u>
		<u>Exercise</u>		<u>Exercise</u>
		<u>Price</u>		<u>Price</u>
Outstanding,				
Beginning of Year	445	<u>\$ 1,104.70</u>	620	<u>\$ 1,098.29</u>
Granted	-	<u>\$ -</u>	-	<u>\$ -</u>
Exercised	(395)	<u>\$ 1,082.00</u>	(175)	<u>\$ 1,082.00</u>
Forfeited	-	<u>\$ -</u>	-	<u>\$ -</u>
Outstanding,				
End of Year	<u>50</u>	<u>\$ 1,284.00</u>	<u>445</u>	<u>\$ 1,104.70</u>
Options vested and exercisable				
at end of year	<u>50</u>	<u>\$ 1,284.00</u>	<u>445</u>	<u>\$ 1,104.70</u>

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(9) Stock option plan (continued)

As of December 31, 2021 all shares had vested.

	<u>2023</u>	<u>2022</u>
Total intrinsic value of options exercised for shares	\$ 16,150	\$ 33,950
Total intrinsic value of options exercised as cashless	\$ 59,350	\$ -
Tax benefit realized from exercise of options	\$ 5,000	\$ 10,000
Cash received from the exercise of options	\$ 91,970	\$ 189,350

For stock options granted after December 2006, as discussed in Note (1), the Company recognized no increase in compensation expense for the years ended December 31, 2023, and 2022. As of December 31, 2023 and 2022, unrecognized compensation expense related to the options granted after December 2006 totaled zero.

(10) Earnings per share

The following data shows the amounts used in computing earnings per share and the effect on income and the weighted-average number of shares of dilutive potential stock.

	<u>2023</u>	<u>2022</u>
Income available to stockholders used in basic EPS	\$ 1,835,410	\$ 3,568,141
Weighted average number of stock shares used in basic EPS	34,864	34,759
Effect of dilutive stock options	-	59
Weighted average number of stock shares and dilutive potential stock used in diluted EPS	<u>34,864</u>	<u>34,818</u>

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- (11) Concentration of credit risk arising from cash deposits in excess of insured limits
Cash balances are maintained with financial institutions and securities dealers located in Kansas and Colorado. Accounts are insured up to \$250,000 by either the Federal Deposit Insurance Corporation or the Securities Investor Protection Corporation. At December 31, 2023 and 2022, uninsured cash balances total \$430,684 and \$366,890, respectively.

- (12) Prior period adjustments
The accompanying financial statements for 2022 have been restated to correct an error in computing the accumulated postretirement benefit obligation made in 2022 and years prior. The effect of the restatement for 2022 was to increase general and administrative and water issues expense by \$213,436 and decrease deferred income tax expense by \$60,000 thereby decreasing net income by \$153,436 (\$4.42 per share). Beginning retained earnings for 2022 was reduced by \$84,217, the net effect of the error prior to 2022. The balance sheet for 2022 was restated by increasing the current portion of accumulated health benefits \$701, the long-term portion of accumulated postretirement health benefits by \$329,952 and decreasing the deferred tax liability by \$93,000.

The 2022 postretirement health benefit disclosures included in Note (6) have been restated to reflect the corrections to the plan calculations occurring in 2022 and years prior.

- (13) Subsequent events
Management has evaluated the Company for subsequent events through March 21, 2024, the date at which the financial statements were available to be issued. The Company has not been evaluated for any events after this date.